4.6

Location Decisions

Cambridge IGCSE Business

- Manufacturing Location
- Service Location
- International Location
- Real Case: Nissan
- Real Case: Amazon
- Recommend & Justify

Location Decisions

Where a business chooses to locate has a major impact on its costs, access to customers, availability of workers and long-term success.

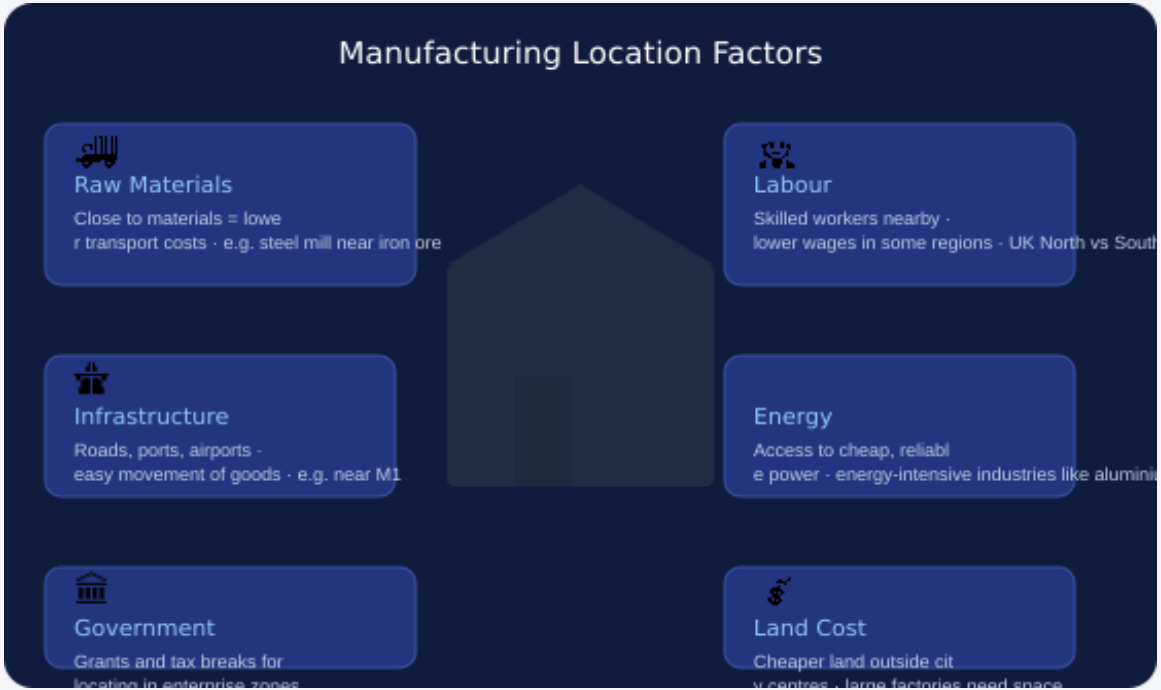
- Identify key factors for manufacturing location
- Identify key factors for service business location
- Understand why businesses locate internationally
- Analyse the Nissan Sunderland location decision
- Recommend and justify locations for given scenarios

Manufacturing Location Factors

Raw materials · Labour · Infrastructure · Energy · Government · Land

Manufacturing Location – Key Factors & Examples

A manufacturing business needs land, energy, workers and good transport links. The most important factor depends on the type of product being made.



Raw Materials

Corus Steel, Port Talbot

Located on coast for iron ore imports by ship

Labour

Call centres, India

Abundant English-speaking graduates, lower wages

Government

Nissan, Sunderland

£100m+ in grants to locate in North East UK

Infrastructure

Amazon, Doncaster

M18/A1(M) junction — next-day delivery across UK

Exam tip: The most important factor varies by industry. Steel → raw materials. High-tech → skilled labour. Retail → footfall. Always link to the specific business.

Service Business Location Factors

Footfall · Competition · Target market · Rent · Online vs physical

Service Business Location – Key Factors & Examples

Service businesses need customers to find and visit them easily — or reach them online. The key factor is usually proximity to the target market.

Service Business Location Factors

Footfall
High footfall = more passing customers · high street vs out-of-town

Competitors
Cluster with rivals (jewellery quarter) OR locate away from them

Parking
Customers need access · close to transport links and car parks

Target Market
Locate near your target customers · Harrods in Knightsbridge

Rent
High street = expensive but busy · out-of-town = cheap but fewer customers

Online
E-commerce — location irrelevant · Amazon ships from any warehouse

Physical Service Location

High street: maximum footfall, high rent

Out-of-town: lower rent, needs parking/car

Near competition can be good — clusters attract customers
e.g. Westfield shopping centre · Harley Street

Online Service — Location Irrelevant

No physical premises needed — cut rent costs

Reach customers globally from one location

Lower fixed costs → competitive pricing possible

e.g. ASOS · Amazon · Netflix · Monzo

Harrods *Knightsbridge, London*	Wealthy target customers live and shop nearby
Primark *City centre high streets*	Maximum footfall — needs volume of customers
McDonald's *Near schools, motorways*	Targets families and passing travellers
ASOS	Online only — cheap land, motorway access

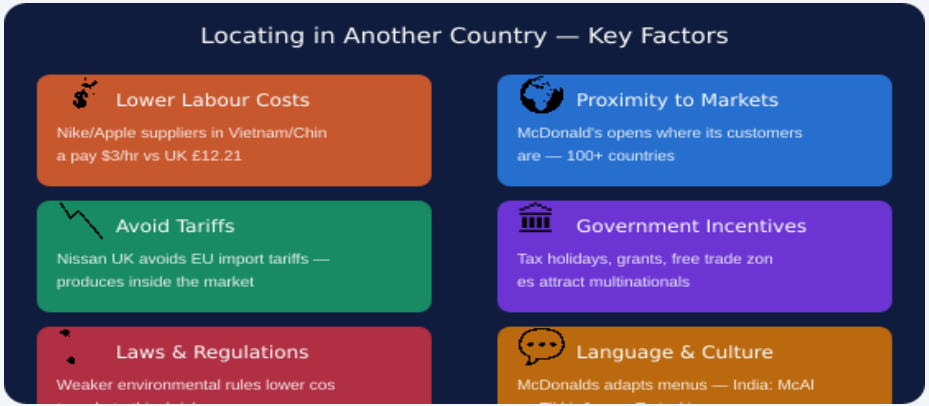
Exam tip: For service businesses, footfall is often the most important factor. But online businesses completely remove the need for a customer-facing location.

International Location Decisions

Why businesses locate operations in other countries

International Location – Factors & Real Examples

As businesses grow, they may relocate production or set up new operations abroad. The main reasons are cost reduction, market access and government incentives.



Real-world international location decisions:

Nike	McDonald's	Dyson	Apple	Amazon
Vietnam & China	100+ countries	Malaysia (2016)	China (Foxconn)	Luxembourg (EU HQ)
Labour 10x cheaper than USA · 60% of Nike shoes made here	Goes where its customers are · adapts menus to local culture	Lower manufacturing costs · access to growing Asian markets	Massive skilled workforce · established supply chain · low wages	Favourable tax treatment · access to EU single market without tariffs

Exam tip: International location can also bring risks — ethical issues (poor working conditions), quality control challenges and transport costs. Always evaluate both sides.

Real Case: Nissan Sunderland

The most famous UK location decision — 1986

Case Study: Why Nissan Chose Sunderland (1986)

In 1986, Nissan chose Sunderland in the North East of England for its first European factory. This decision is a textbook example of manufacturing location factors in action.

Nissan chose Sunderland, UK (1986)

Why here? — All the key factors ticked

Labour
Skilled ex-shipyard workers available · lower North East wages

Government
£100m+ government grants to attract Nissan to the UK

Infrastructure
A1(M) and A19 motorway access · near Port of Tyne for exports

Land
Cheap, flat land on former airfield — perfect for large plant

Energy
Reliable power supply · negotiated industrial energy rates

Result: 500,000 cars/yr · 6,000 direct jobs · UK's most productive car plant

Outcomes — 40 years later

- ✅ 500,000+ cars produced per year — UK's most productive plant
- ✅ 6,000 direct jobs at the plant, 40,000+ in supply chain
- ✅ Qashqai and Leaf (electric) made here for global markets
- ✅ UK's largest car manufacturing plant by output per worker
- ✅ Sunderland transformed — from declining port city to industrial hub
- ⚠ Post-Brexit uncertainty raised questions about staying in UK

Why the location worked:

Nissan made the right choice because ALL major location factors were favourable at once: skilled, affordable labour (ex-shipyard workers), generous government grants, excellent transport links, cheap flat land and reliable energy. This combination of factors is rare and explains why the plant was so successful.

Exam tip: The Nissan case shows all 5 manufacturing factors at work simultaneously. This is the IGCSE's most-used manufacturing location case study — learn it in detail.

Case Study: Amazon UK Warehouse Locations

Amazon operates 17+ fulfilment centres across the UK. Each location is chosen using the same set of criteria — proximity to customers, transport links and available land.

amazon — Location Strategy

Why HQ in Seattle · Why warehouses across the UK

Seattle HQ
- Near Microsoft & Boeing
- Deep tech talent pool
- University of Washington nearby

UK Warehouses
- Near motorway junctions
- Close to population centres
- Cheap land, good labour supply

Near customers	Motorway access	Low land cost	Automation
Deliver next day	Quick dispatch	Out of town	Robots need space

17 UK fulfilment centres · strategically placed for same-day delivery

Amazon UK Location Formula

- Near M25 / M6 / M1 motorway junctions for fast delivery
- Large local workforce for warehouse picking and packing
- Cheap industrial land on edge of cities — not in centres
- Reliable power — warehouses and robots use lots of energy
- Spread geographically — cover all UK regions for same-day

Manufacturing vs Service vs Online — How location needs differ

Factor	Manufacturing (Nissan)	Service (Primark)	Online (Amazon)
Most important	Raw materials + Labour	Footfall + Rent	Transport links
Customers need?	No — B2B delivery	Yes — walk-in traffic	No — home delivery

Exam tip: Amazon shows how service businesses that operate online need different location factors from physical retailers — transport links and land cost matter far more than footfall.

Location Decisions – How to Recommend and Justify

The IGCSE exam will ask you to recommend a location for a given business situation and justify your answer using specific factors from the case study.

Scenario A: "BakeFresh wants to open a new artisan bakery selling to walk-in customers."

→ High street, city centre

Bakery is a service business relying on walk-in customers — footfall is the key factor. City centre maximises passing trade. High rent is justified by the volume of customers. Must be near target market (office workers, shoppers).

Scenario B: "SteelWorks Ltd needs a new factory to produce automotive steel components."

→ Near Port Talbot / South Wales coast

Manufacturing business needs proximity to raw materials (iron ore imports by ship). Large flat site needed for the plant. Government enterprise zone grants available. Road links to car manufacturing customers nearby.

Scenario C: "TechStart is launching an online software subscription service."

→ Location does not matter — operate from anywhere

Online service — customers purchase and access it entirely via the internet. No need for footfall or customer-facing premises. Can locate in low-cost area to minimise rent. Staff talent pool is the only relevant physical factor.

Exam formula: Name the location type → give the MOST IMPORTANT factor for THIS business → explain WHY that factor matters more than the others in this case.

Key Revision Checklist – 4.6 Location Decisions

Manufacturing	Raw materials, labour supply, infrastructure (roads/ports), energy supply, government incentives, land cost
Service	Footfall (passing customers), competition, proximity to target market, rent/cost of premises, parking and transport links
Online	Location almost irrelevant — needs good transport for delivery and cheap land/warehousing. No footfall needed.
International	Lower labour costs (Nike/Apple), proximity to markets (McDonald's), avoiding tariffs (Nissan UK), government incentives, weaker regulations
Nissan Case	Sunderland 1986: skilled ex-shipyard labour, £100m+ grants, A19/A1(M) roads, cheap flat land, Port of Tyne exports — all 5 factors
Amazon Case	Motorway junctions, large local workforce, cheap industrial land, reliable power, geographically spread — 17 UK fulfilment centres
Recommend	Identify business type → pick most important factor → justify WHY it matters most for THIS business → mention trade-offs